



COLLEGE ACCOUNTING (105)

—Post-secondary—

STATE – 2019

Multiple Choice:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Short-Answer (10 @ 3 points each) _____ (30 points)

Problems:

Problem 1: Perpetual Inventory _____ (46 points)

Problem 2: Journal Entries _____ (37 points)

Problem 3: Distribution of Income _____ (33 points)

TOTAL POINTS _____ ***(176 points)***

**Graders: Please double check and verify all
scores and answer keys!**

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Workplace Skills Assessment Program competition.



General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice and short answer questions should be completed first, and then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- GAAP

- Percents rounded to the tenth percent (Ex: 22.8%)

- Perpetual Inventory

- Round all dollar amounts to the nearest cent

COLLEGE ACCOUNTING (PS) - STATE 2019

ANSWER KEY

Page 3 of 7

Multiple Choice (2 points each):

- | | |
|------|-------|
| 1. D | 9. A |
| 2. A | 10. B |
| 3. D | 11. C |
| 4. C | 12. B |
| 5. B | 13. A |
| 6. C | 14. D |
| 7. B | 15. B |
| 8. C | |

Short-Answer (3 points each)

- | | |
|--|----------------------------|
| 1. Perpetual | 6. SOX, Sarbanes-Oxley Act |
| 2. Selling, Administrative (3 points for each) | 7. Maturity Value |
| 3. First In First Out (FIFO) | 8. Direct Write Off |
| 4. Internal | 9. Straight-Line |
| 5. Unearned Revenue | |



Problem 1 (46 points) - Record the following perpetual inventory using First In First Out (FIFO).

May	1	Balance	100 units @ \$50
	5	Purchased	2,500 units @ \$52
	8	Sold	1,800 units
	12	Sold	500 units
	15	Purchased	3,000 units @ \$55
	20	Sold	2,100 units
	28	Sold	800 units

Graders – Each box worth 1 points each for a total of 46 points (no points for date).

	Purchases			Cost of Merchandise Sold			Inventory Balance		
Date	Units	Cost/Unit	Total Cost	Units	Cost/Unit	Total Cost	Units	Cost/Unit	Total Cost
5/1							100	\$50	\$5,000
5/5	2,500	52	\$130,000				100 2,500	50 52	5,000 130,000
5/8				100 1,700	50 52	5,000 88,400	800	52	41,600
5/12				500	52	26,000	300	52	15,600
5/15	3,000	55	165,000				300 3,000	52 55	15,600 165,000
5/20				300 1,800	52 55	15,600 99,000	1,200	55	66,000
5/28				800	55	44,000	400	55	22,000
Totals	5,500		\$295,000	5,200		\$278,000	400	\$55	\$22,000



Problem 2 (37 points) - Record the following entries in general journal form. The company uses the perpetual inventory system and records adjusting entries at the end of the month. A journal is provided on the next two pages.

Graders – Please note that each bolded line is worth one point. If the account name or amount is wrong or if on wrong side, the entire line will be wrong. Abbreviations are allowed.

General Journal

Page 33

Date	Description	Post Ref	Debit	Credit
2/2	Cash		20,000.00	
	JJ Holtz, Capital			20,000.00
2/5	Accounts Receivable		28,000.00	
	Sales			28,000.00
	Cost of Goods Sold		10,000.00	
	Inventory			10,000.00
2/7	Postage Expense		50.00	
	Cash			50.00
2/9	Cash		2,000.00	
	Sales			2,000.00
	Cost of Goods Sold		750.00	
	Merchandise Inventory			750.00
2/12	Equipment		55,000.00	
	Cash			5,000.00
	Notes Payable			50,000.00
2/15	Cash		6,000.00	
	Unearned Rent Revenue			6,000.00
2/18	Cash		19,800.00	
	Accounts Receivable			19,800.00
2/24	Utility Expense		1,500.00	
	Cash			1,500.00

COLLEGE ACCOUNTING (PS) - STATE 2019

ANSWER KEY

Page 6 of 7



2/28	Wages Expense		5,900.00	
	Social Security Payable			365.80
	Medicare Payable			87.95
	Federal Income Tax Payable			753.15
	Medical Insurance Payable			150.00
	Wages Payable			4,543.10
	<u>Adjusting Entries – heading not necessary</u>			
2/28	Accounts Receivable		6,200	
	Revenue			6,200
	Supplies Expense		440	
	Supplies			440
	Unearned Rent Revenue		2,000	
	Rent Revenue			2,000
	Insurance Expense		150	
	Prepaid Insurance			150
	Depreciation Expense		215	
	Accumulated Depreciation			215



Problem 3 (33 points) - Under each of the following assumptions, distribute Net Income (Net Loss) to the partners.

Grader – One point for each bolded number for a total of 33.

- A. Net income is \$40,000. Salary allowance for Conrad is \$10,000 and Nuygen is \$20,000; the remaining is split equally.

	Conrad	Ngygen	Total
Salary Allowance	\$ 10,000	\$ 20,000	\$ 30,000
Remaining	5,000	5,000	10,000
Total	<u>\$ 15,000</u>	<u>\$ 25,000</u>	<u>\$ 40,000</u>

- B. Net Income is \$40,000. Salary allowance for Conrad is \$10,000 and Ngygen is \$20,000, 10% interest on beginning capital balance, and the remaining split equally. Beginning capital for Conrad is \$50,000 and Ngygen is \$120,000.

	Conrad	Ngygen	Total
Salary Allowance	\$ 10,000	\$ 20,000	\$ 30,000
10% on Capital	5,000	12,000	17,000
Remaining	(3,500)	(3,500)	(7,000)
Total	<u>\$ 11,500</u>	<u>\$ 28,500</u>	<u>\$ 40,000</u>

- C. Net Loss is (\$20,000). Salary Allowance for Conrad is \$10,000 and Nuygen is \$20,000, 10% Interest on beginning capital balance, and the remaining split equally. Beginning capital for Conrad is \$50,000 and Nuygen is \$120,000.

	Conrad	Ngygen	Total
Salary Allowance	\$ 10,000	\$ 20,000	\$ 30,000
10% Capital	5,000	12,000	17,000
Remaining	(33,500)	(33,500)	(67,000)
Total	<u>\$ (18,500)</u>	<u>\$ (1,500)</u>	<u>\$ (20,000)</u>